

Unrealized Capital Gain/Loss An increase (or decrease) in the value of a security that is not “real” because the security has not been sold. Once a security is sold by the portfolio manager, the capital gains/losses are “realized” by the fund, and any payments to the shareholder are taxable during the tax year in which the security was sold.

Volatility The degree of fluctuation in the value of a security, mutual fund, or index. Volatility is often expressed as a mathematical measure, such as a standard deviation or beta. The greater a fund’s volatility, the wider the fluctuations between its high and low prices.

Wash Sale Rule The IRS regulation that prohibits a taxpayer from claiming a loss on the sale of an investment if that investment or a substantially identical investment is purchased within 30 days before or after the sale.

Yankee Dollars/Bonds Debt obligations, such as bonds or certificates of deposit, bearing U.S. dollar denominations and issued in the United States by foreign banks and corporations.

Yield Curve A line plotted on a graph that depicts the yields of bonds of varying maturities, from short term to long term. The line, or “curve,” shows the relationship between short-term interest rates and long-term interest rates.

Yield-to-Maturity The rate of return an investor would receive if the securities held in his or her portfolio were held until their maturity dates.